

**SUBSTITUTE FOR
HOUSE BILL NO. 5214**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
(MCL 206.1 to 206.847) by adding section 277.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 277. (1) For tax years that begin on and after January 1,**
2 **2026, a taxpayer who is an eligible family caregiver may claim a**
3 **credit against the tax imposed under this part in an amount equal**
4 **to 30% of the qualified expenses incurred by the taxpayer during**
5 **the tax year or \$2,000.00, whichever is less. The taxpayer shall**
6 **not include any qualified expenses for which the taxpayer was**
7 **reimbursed or otherwise compensated by insurance or any state or**
8 **federal assistance program.**

9 **(2) To be eligible for the credit under this section, the**



1 taxpayer shall, in the form and manner as prescribed by the
2 department, provide the following information with the annual
3 return filed under this part on which a credit under this section
4 is claimed:

5 (a) Documentation to substantiate the qualified expenses
6 claimed under this section.

7 (b) The name and Social Security number or individual tax
8 identification number of the eligible family member for which
9 qualified expenses identified under subdivision (a) were incurred.

10 (c) If applicable, a copy of the certification required under
11 subsection (4)(c)(i)(A) for that eligible family member.

12 (3) If the amount of the credit allowed by this section
13 exceeds the tax liability of the taxpayer for the tax year, that
14 portion of the credit that exceeds the tax liability must not be
15 refunded.

16 (4) As used in this section:

17 (a) "Activities of daily living" means ambulating, eating,
18 toileting, bathing, dressing, grooming, personal hygiene,
19 transferring, or continence.

20 (b) "Eligible family caregiver" means an individual who
21 satisfies each of the following:

22 (i) Is a resident of this state.

23 (ii) Provided care, meaning either physical care or financial
24 support, or both, for an eligible family member.

25 (iii) Personally incurred uncompensated qualified expenses
26 directly related to the provision of care for an eligible family
27 member of \$2,000.00 or more.

28 (c) "Eligible family member" means a family member of the
29 eligible family caregiver who is not a resident of a nursing home,



1 home for the aged, or any other assisted living facility and meets
2 any of the following requirements in the following circumstances:

3 (i) Is 6 years of age or older and either of the following:

4 (A) Is unable to perform, without substantial assistance from
5 another individual, at least 2 activities of daily living due to a
6 loss of functional capacity as certified by a health care provider.
7 The certification required under this sub-subparagraph must have
8 been issued within the immediately preceding 24 months.

9 (B) Requires substantial supervision to protect such
10 individual from threats to health and safety due to severe
11 cognitive impairment.

12 (ii) Is at least 2 years of age but not 6 years of age, and is
13 unable, due to a loss of functional capacity, to perform without
14 substantial assistance from another individual at least 2 of the
15 following activities: eating, transferring, or ambulating.

16 (iii) Is under 2 years of age, and requires specific durable
17 medical equipment by reason of a severe health condition or
18 requires a skilled practitioner trained to address the individual's
19 condition to be available if the individual's parents or guardians
20 are absent.

21 (d) "Family member" means that term as defined under section 2
22 of the earned sick time act, 2018 PA 338, MCL 408.962.

23 (e) "Goods, services, and supports" means any of the
24 following:

25 (i) Human assistance, supervision, cuing and standby
26 assistance.

27 (ii) Assistive technologies and devices, including remote
28 health monitoring.

29 (iii) Environmental modifications for the home such as



1 structural and technological changes designed to enhance
2 accessibility, safety, and independence, including portable home
3 modifications.

4 (iv) Health maintenance tasks for preventative medical care and
5 routine physical support, such as medication management, health
6 monitoring tasks, skin care treatments, activities of daily living,
7 and other health-related activities for individuals that help
8 prevent diseases or manage chronic conditions or disabilities.

9 (v) Legal and financial services.

10 (vi) Transportation and travel.

11 (vii) Nonhealth items such as incontinence supplies.

12 (f) "Health care provider" means a physician, registered
13 professional nurse, or social worker licensed under article 15 of
14 the public health code, 1978 PA 368, MCL 333.16101 to 333.18838.

15 (g) "Instrumental activities of daily living" includes, but is
16 not limited to, meal planning and preparation, managing finances,
17 shopping for food, clothing, and other essential items, performing
18 essential household chores, communicating by phone or other media,
19 and traveling around and participating in the community.

20 (h) "Qualified expenses" means expenditures for goods,
21 services, and supports that assist an eligible family member with
22 accomplishing activities of daily living and instrumental
23 activities of daily living and are directly related to assisting
24 the eligible family caregiver in providing care for an eligible
25 family member or are specifically for use by an eligible family
26 member. Qualified expenses paid or incurred by the eligible family
27 caregiver include the following subparagraphs (i) to (vii) and
28 exclude subparagraph (viii):

29 (i) Expenditures for respite care.



1 (ii) Expenditures for counseling, support groups, or training
2 relating to caring for an eligible family member.

3 (iii) Transportation costs related to caring for an eligible
4 family member. Transportation costs claimed under this subparagraph
5 must not exceed the federal medical mileage rate for the current
6 tax year for which the credit is being claimed.

7 (iv) Expenditures for assistive technologies.

8 (v) Expenditures for hiring a home care aide or other direct
9 care worker for assistance.

10 (vi) Expenditures for health and medical care equipment.

11 (vii) Expenditures incurred for the improvements or
12 modifications of the eligible family caregiver's principal
13 residence or primary motor vehicle to ensure accessibility for an
14 eligible family member.

15 (viii) Expenditures for general household maintenance such as
16 painting, plumbing, or electrical regardless of whether such
17 maintenance is done to the inside or outside of the residence.